



CORPORATE PERFORMANCE & ESG

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# IFRS 18: what the new standard means for your financial reporting and how CCH<sup>®</sup> Tagetik helps you get ready

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## IFRS 18 is a new reporting structure effective January 1, 2027

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The IASB published [IFRS 18 – Presentation and Disclosure in Financial Statements](#), a major new standard that reshapes how companies structure and present their income statement. Effective January 1, 2027, IFRS 18 affects all enterprises across all sectors, introducing new subtotals,

clearer categories, and mandatory disclosures designed to improve consistency and comparability in global reporting.



This is not just a reporting update, but a significant transformation project. Transitioning will require data remapping, redesigning statements, and building new disclosures, often across diverse ERP and chart of accounts structures. [Many organizations already anticipate a heavy effort, and technology will play a crucial role in accelerating adoption and reducing TCO.](#)

This blog breaks down the key changes in IFRS 18 and how CCH Tagetik supports a smooth, efficient transition.

## What's changing under IFRS 18

### 1. New income statement structure

IFRS 18 introduces five clearly defined categories to classify all income and expenses. This structure helps stakeholders to better understand performance and business model drivers:

- 1. Operating
- 2. Investing
- 3. Financing
- 4. Income taxes
- 5. Discontinued operations

### 2. Two new mandatory subtotals

Companies must now present operating profit and profit before financing and income taxes. These subtotals increase comparability across industries and companies.

### 3. New rules for aggregation, disaggregation, and labelling

Stricter guidance ensures clearer presentation of line items, reducing inconsistencies in how entities structure their P&Ls.

### 4. Audited disclosures for Management-Defined Performance Measures (MPMs)



Entities must disclose these indicators to increase transparency and governance:

  How MPMs are calculated

  Reconciliation to the closest IFRS subtotal

- Impacts on tax and non controlling interests

 

## What does the IFRS 18 transition mean for finance teams

Preparing for January 2027 requires immediate action. IFRS 18 impacts ERP data readiness, CPM structures, controls, and disclosures. Key challenges include:

### 1. Materiality and impact assessment

Finance teams must assess which line items require reclassification, which new subtotals are needed, and how existing statements map into new categories.

### 2. Data mapping complexities

Teams must map each entity's chart of accounts (CoA) to IFRS 18 categories. Many companies have multiple ERPs, CoAs, significant transaction-level granularity and this might intensify the mapping workload. This is where automation and AI capabilities can add major value.

### 3. Comparative reporting for 2026

Entities must provide comparative financials for 2026, meaning most organizations need to begin preparing structures and collecting data well ahead of the effective date.

### 4. New MPM disclosures

Capturing adjustments, reconciling subtotals, and calculating tax and NCI impacts require new processes and tooling.

### 5. Change management

As January 2027 approaches jointly with other consolidation tools, organizations are already concerned about resource intensity, cross-functional complexity, support and ROI.

# **CCH® Tagetik accelerates IFRS 18 readiness with its Intelligent Platform that streamlines the entire transition, from data preparation to disclosure.**



CCH® Tagetik simplifies IFRS 18 adoption with a unified platform and intelligent capabilities that help finance teams modernize processes while reducing effort and risk.

## **Unified IFRS 18-ready platform**

- End-to-end coverage across data preparation, reporting, consolidation, and disclosure.
- Flexible P&L design through Financial Statement Templates to define IFRS 18 compliant structures.

## **Expert AI for mapping, validation & accuracy**

- AI Automapping accelerates Chart of Accounts mapping and categorization into IFRS 18 income & expense groups.
- Anomaly detection and validation checks identify issues early and reduce manual review effort.

## **Built-in IFRS 18 MPM workflows minimizing ERP adjustments**

- Ready-to-use workflows for Management Defined Performance Measures.
- Streamlined adjustment collection, KPI calculations, and automated tax and NCI impacts directly at the CPM level—minimizing adjustments in the ERP.

## **Intelligent Disclosure Management**

- Microsoft 365 integrated disclosure management ensures connected, accurate, and data-driven reporting.
- GenAI supports consistent narratives, data comparisons, and commentary for new IFRS 18 disclosure requirements.
- Comprehensive close-to-disclose alignment ensures a single version of the truth across all IFRS 18 reporting requirements.



## **Why now?**

IFRS 18 affects 2026 comparative reporting, meaning companies effectively have less than one year to:



- Redesign their income statement
- Remap CoAs



Update systems and workflows

- Prepare new disclosures
- Validate and audit their data

Organizations that start early will reduce risk, avoid last-minute crunch, and use the transition as an opportunity [to modernize their financial processes](#).

Whether you're preparing your transition path or approaching IFRS 18 for the first time, [speak with our experts](#) to move forward with clarity and confidence.

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Mike is a finance transformation leader with over 12 years of experience in Corporate Performance Management (CPM) and Enterprise Performance Management (EPM) solutions.



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